

Treasure Management

BBA — 8th Semester — 2024 — Answer Sheet

Subject Code: BNK207

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

1. Treasury department is basically concerned with extending credit to potential clients of a bank.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Dealers and traders constitute the front office.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Front office plays a key role in ensuring that organization's systems are operating correctly, that people are being supported effectively and compliantly, and that trades are settled properly.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Effective risk management reduces the probability of threats.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. NRB allows institutional customers to open saving deposits accounts in Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Home equity credits are the loans that allow homeowners to borrow against the value of property.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Asset liability management is concerned with strategic management of balance sheet by giving due weightage to market risks.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. In the case of positive mismatch, the maturity of liabilities is greater than the maturity of assets.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. The main regulatory concern on the bank's liquidity is about the adequacy of liquidity rather than cost effectiveness of liquidity.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. FEDAN works as a bridge between member banks and NRB on the matter relating to any banking issue.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions:[6 × 5 = 30]

11. Explain the major principles of treasury management.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Discuss the scope of treasury department of a commercial bank in Nepal in connection with money market transactions.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. Explain the functions performed by treasury department front mid and back office.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. What is asset liability management committee? Explain the roles and responsibilities of ALCO.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. Distinguish between forward contracts and futures contracts. Illustrate with suitable example.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. What do you mean by counterparty default risk? How this risk can be mitigated? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

17. Commercial banks now a days facing problem while offering interest rate in product pricing. Several issues are come up to the market just like liquidity issue, government spending, foreign direct investment and remittance, so managers are in dilemma to decide the best rate of deposit product. As a finance specialized graduate how can you help managers to determine the best interest rate for new deposit product? Also recommend the suitable deposit pricing method with your opinion.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

18. "Risk can be seen as a adverse effects of financial decision of a decision maker and changes in environment that may cause damage to an institution's income and reputations". With the help of the statement define risk and explain different types of risk in treasury department of commercial banks in Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.